

****NovaMart Internal Document****

Management Targets and Performance Thresholds

****Document Type:**** Management Reference & Performance Governance

****Applies To:**** AI Business Analyst, Management Reporting, Analytics Teams

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1. Purpose

This document defines management targets and performance thresholds for NovaMart. It is used by the AI Business Analyst and management reporting teams to assess whether measured business performance is above, below, or close to management expectations. It provides a consistent framework for interpreting KPI results in the context of corporate goals.

This document does not contain historical performance data, financial results, or actual KPI values. It defines targets and thresholds only. All targets are to be applied in conjunction with the definitions and limitations set out in the **KPI Definitions and Business Metrics Handbook**.

2. Management Principles

NovaMart management uses targets as decision thresholds, not as absolute pass/fail grades. The following principles govern how targets should be interpreted:

- **Context matters.** A target variance must be evaluated alongside trend, historical performance, region, product category, customer segment, and operational context.
- **Missing a target is not automatically a failure.** A target miss is a signal for investigation, not a conclusion.
- **Targets are benchmarks, not explanations.** A variance from target is a measurable fact. The reason for the variance must be investigated separately.
- **Single-quarter results are not equivalent to annual performance.** Annual targets are assessed on a full-year or rolling twelve-month basis. Quarterly results provide directional signals and early warning.
- **Causation requires evidence.** Correlation between a target variance and an external or internal factor does not prove that the factor caused the variance.

3. Corporate Targets

The following targets apply to NovaMart as a whole and represent the primary financial and strategic expectations of management.

3.1 Revenue Growth

- **Annual target:** 12%
- **Evaluation:** Full-year performance, with quarterly results used to assess trajectory.
- **Note:** Revenue growth is the primary top-line indicator of business health. It should be analysed alongside order count, average order value, and customer retention.

3.2 Average Order Value (AOV)

- **Target:** Increase by 8% year over year.
- **Evaluation:** Year-over-year comparison for the same period.
- **Note:** AOV growth can be driven by product mix, pricing, cross-selling, or up-selling. The AI should investigate the driver rather than assume a single cause.

4. Customer Targets

Customer behaviour is central to NovaMart's sustainable growth strategy. Management expects improvement in both retention and repeat-purchase behaviour.

4.1 Customer Retention

- **Target:** 75%
- **Evaluation:** Annual, measured as the repeat customer rate or retention rate as defined in the *KPI Definitions and Business Metrics Handbook*.
- **Note:** Retention is a key driver of customer lifetime value. The AI must clearly state which retention definition is used (period-based or lifetime-based) when reporting against this target.

4.2 Customer Activity

- **Target:** Improving repeat-purchase behaviour over time.
- **Evaluation:** Trend-based, using repeat customer rate and purchase frequency.
- **Note:** Management expects repeat-purchase behaviour to strengthen. A flat or declining trend is a warning signal even if the absolute retention target is met.

5. Regional Targets

NovaMart operates across multiple international markets. Regional targets reflect the strategic importance of diversification and international growth.

5.1 Regional Growth

- **Target:** At least 10% annual growth for strategically important markets.
- **Evaluation:** Annual, applied to markets designated as strategically important by management.
- **Note:** Strategically important markets are reviewed periodically. The AI should apply this target only to markets explicitly identified as such in management reporting.

5.2 APAC Growth

- **Target:** 15% annual growth.
- **Evaluation:** Annual, applied to the APAC reporting region.
- **Note:** Australia is an important APAC market. The APAC target is higher than the general regional target to reflect the region's growth potential and strategic priority.

5.3 International Expansion

- **Target:** At least 8% annual growth outside the United Kingdom.
- **Evaluation:** Annual, applied to all markets outside the UK, including Continental Europe, APAC, and Other International.
- **Note:** This target supports the strategic priority of reducing dependence on the UK market and building a balanced international revenue base.

6. Product and Operational Targets

6.1 Product Concentration

- **Target:** Avoid excessive dependence on a very small number of products.
- **Evaluation:** Continuous monitoring of revenue concentration across the product portfolio.
- **Qualitative warning threshold:** Excessive concentration exists when a single product or a very small group of products accounts for a disproportionate share of total revenue, such that the loss of that product or group would materially impact overall revenue. The specific threshold is reviewed periodically by management and is not fixed numerically in this document. The AI should flag any observed concentration that appears inconsistent with a diversified portfolio.

6.2 Product Availability

- **Target:** No repeated stock-related disruption.
- **Evaluation:** Continuous operational monitoring.
- **Note:** Management considers repeated stockouts or inventory shortages that disrupt sales to be a high-priority operational issue. Repeated disruptions should be flagged as a Red operational alert and escalated for review.

7. Discount Governance

NovaMart maintains disciplined discounting as a strategic priority. The following policy applies to all customer discounts.

- **Standard maximum customer discount:** 20%
- **Approval requirement:** Discounts above the standard threshold require management approval.

- **Monitoring:** The AI should monitor discount rates where data is available. If discount data is not available in the base transaction dataset, this limitation must be explicitly stated. Any observed discounting above 20% without documented approval should be flagged.

8. Performance Status Framework

Management uses a three-tier status framework to communicate performance against targets. The framework is applied to individual metrics and should be interpreted with the management principles in Section 2.

8.1 Green

Definition: Performance comfortably meets or exceeds target.

Criteria: The metric is at or above target, and the trend is stable or improving. No immediate action is required.

Interpretation: The business is performing in line with or better than expectations for this metric.

8.2 Amber

Definition: Performance is close to target or shows an emerging risk.

Criteria: The metric is slightly below target, or the trend is deteriorating, or early warning signs are present. Management attention is recommended.

Interpretation: The metric requires monitoring. A single Amber result is not a crisis, but persistent Amber status should trigger a review.

8.3 Red

Definition: Performance materially misses the target and requires investigation.

****Criteria:**** The metric is significantly below target, or the trend is sharply negative, or there is a clear operational failure. Immediate management review is required.

****Interpretation:**** The metric demands urgent attention. The AI must investigate the reason and present evidence, not assumptions.

****Important:**** The thresholds for Amber and Red are set by management on a case-by-case basis and may vary by metric, region, and business context. A single quarter's result is not automatically equivalent to annual performance. Annual targets are assessed on a full-year basis.

9. Interpretation Guidelines

- ****Targets are benchmarks, not explanations.**** For example, "APAC grew below target" is a measurable fact. It does ****not**** mean "The APAC strategy failed." The AI must investigate the reason separately.
- ****Consider context before drawing conclusions.**** Trend, historical performance, region, product category, customer segment, and operational context must all be considered.
- ****Single-quarter results are directional.**** Do not treat a single quarter's performance as equivalent to annual performance.
- ****Correlation does not imply causation.**** A target variance may correlate with an external event, but this does not prove that the event caused the variance. Causal claims require additional evidence.
- ****Confidence matters.**** When data is incomplete or sample sizes are small, the AI must state that confidence is low and avoid definitive conclusions.

10. Management Review Triggers

The following conditions automatically trigger a management review:

- Any metric with **Red** status.
- Any metric with **Amber** status that persists for two consecutive reporting periods.
- Any discount above 20% without documented management approval.
- Any product concentration warning that suggests excessive dependence on a small number of products.
- Any repeated stock-related disruption affecting product availability.
- Any anomaly or unexpected movement in a key KPI that is not explained by known seasonal or operational factors.
- Any material variance from an annual target that cannot be explained by normal business fluctuations.

11. Target Reference Table

Metric	Target	Period	Scope	Status Interpretation	Notes
Revenue Growth	12% annual	Annual (full-year; quarterly directional)	Company-wide	Green: ≥12%; Amber: close but below; Red: materially below	Primary corporate top-line target
Customer Retention	75%	Annual	Company-wide	Green: ≥75%; Amber: slightly below; Red: materially below	Definition must be stated (period or lifetime)
Average Order Value	Increase by 8% YoY	Annual (year-over-year)	Company-wide	Green: ≥8% increase; Amber: close; Red: materially below	Compare to same period prior year

| Regional Growth | At least 10% annual growth | Annual | Strategically important markets |
Green: $\geq 10\%$; Amber: close; Red: materially below | Applied only to designated strategic markets |

| APAC Growth | 15% annual growth | Annual | APAC region | Green: $\geq 15\%$; Amber: close;
Red: materially below | Australia is a key APAC market |

| International Expansion | At least 8% annual growth outside UK | Annual | All markets
outside UK | Green: $\geq 8\%$; Amber: close; Red: materially below | Includes Continental
Europe, APAC, Other International |

| Product Concentration | Qualitative warning threshold | Continuous | Product portfolio |
Green: diversified; Amber: emerging concentration; Red: excessive concentration | No fixed
numerical threshold; management reviews periodically |

| Product Availability | No repeated stock-related disruption | Continuous | Operations /
Inventory | Green: no repeated disruptions; Amber: isolated issues; Red: repeated
disruptions | Repeated stockouts are a high-priority operational issue |

| Customer Activity | Improving repeat-purchase behaviour | Annual / trend | Customer base
| Green: improving; Amber: flat; Red: declining | Measured by repeat customer rate and
purchase frequency |

| Discount Governance | Standard max customer discount: 20% | Continuous | All
customer discounts | Green: $\leq 20\%$; Amber: $> 20\%$ with approval; Red: $> 20\%$ without
approval | Discounts above 20% require management approval |

****End of Document****

*This document is a controlled internal reference. It defines targets and thresholds only
and does not contain historical performance results. Any changes to targets must be
approved by management.*